Entrepreneurship Development

Chapter: 04. Entrepreneurial Model and Environment

Factors that Constitute the Foundation of Entrepreneurship

The foundation provides the environment and general support that help foster entrepreneurship. The major factors that constitute the foundation of entrepreneurship are given below:

1. Venture Capital

Venture capital that is readily accessible provides the catalyst for starting risky ventures. No organization or company can be established without capital. To start a new business venture capital is must for that organization.

2. Financial Base

In addition to venture capital, a variety of financing sources both debt and equity, should be made available at reasonable cost. The cost of capital is often too high for aspiring entrepreneurs and small-business people. These people simply cannot generate enough cash flow to serve capital costs.

3. Education and Training

Education and different types of training programs should be available to all people all the time to provide the knowledge and expertise to achieve their personal goals to learn new skills and to achieve business goal as well.

4. Infrastructures

Adequate public and private infrastructures should be in place to provide efficient telecommunications systems, transportation, distribution networks and general services that make the flow of commerce smother.

5. Laws and Regulations

Deregulation, such as that which occurred in the telephone and transportation industries, provides a significant stimulus for new business development. Moreover, outdated antitrust laws should be modified or deleted.

6. Taxes

The tax system should be changed for simplification and equity. In addition, taxes should be generally reduced, especially for new businesses and older businesses that invest in research and plant modernization.

7. Trade

Strong trade regulations, quotas, and tariffs are normally counterproductive. Elimination of trade barriers causes domestic businesses to become more competitive and eventually stronger.

8. Research

For moving ahead and improving free investigations and experimentations must be made to discover new and better ways of doing things. One of the chief goals of entrepreneurship is to develop product-service ideas that will fill a new need or want in the marketplace.

9. Public-Private Partnership

Both the public and private sectors should work together to resolve conflicts and problems. Furthermore, strategies should be hammered out to meet international competition.

10. Society

Trend leaders of a society, such as writers, reporters and commentators, teachers, politicians, parents, and so forth, should extol hard work, discipline, and risk-reward. They should encourage and nurture a creative, positive spirit.

Entrepreneurship Development Model

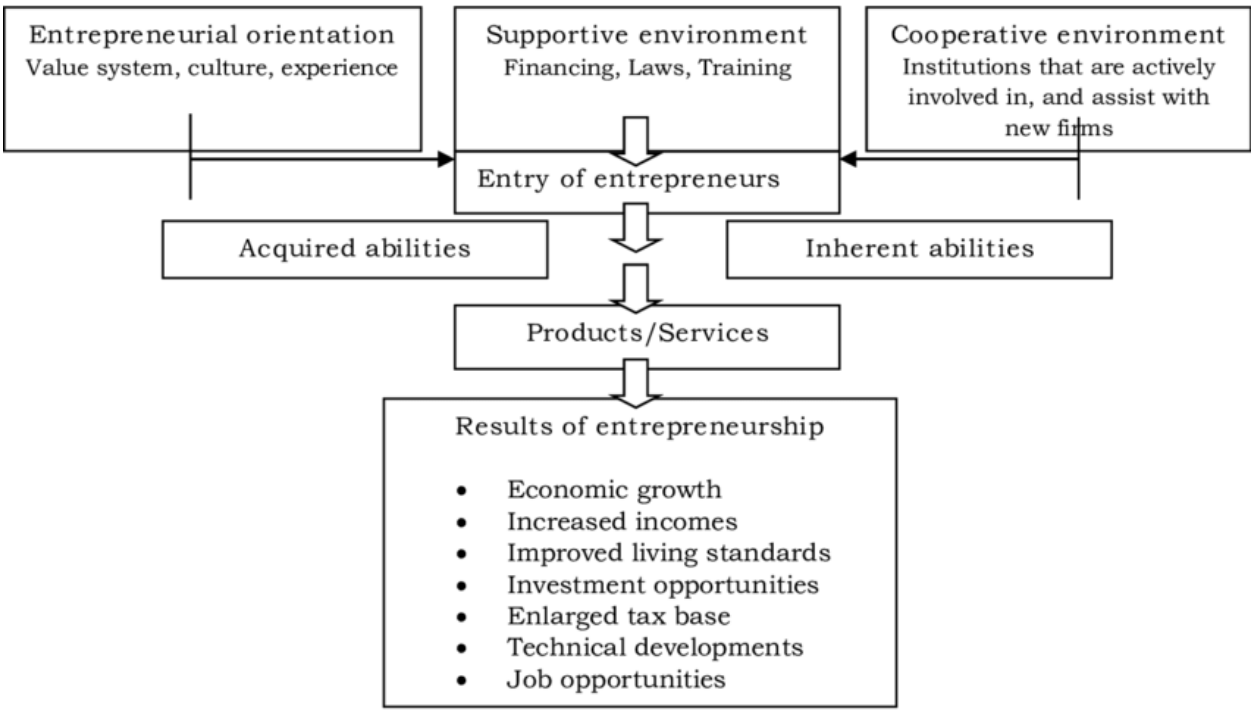


Fig: Entrepreneurship Development Model.

Components of Collaborative Affiliation in Entrepreneurship

To a great extent, entrepreneurship is an intellectual endeavor. The collaborative affiliation components, made up of research centers, parks, universities, governments, corporations, and private groups, cooperates with entrepreneurs and venture incubators to give general guidance, expertise, and research support. Components of collaborative affiliation are stated below:

1. Research Facilities

These research facilities include research centers, technology and science parks, and research consortia. Establishment of these facilities represents a new wave of commitment and intensity to achieve a position of preeminence in new technologies.

2. Universities

Many universities also play a major role in research. Moreover, many universities provide education in general business, accounting, marketing, management, and entrepreneurship to educate people who are not only entrepreneurially motivated but also have the knowledge required to start and manage a business.

3. Governments

Central and local governments are taking a proactive, noninterventionist role to seek out and fund technological efforts from conception to full commercialization. Also, more efforts are being made to transfer technology from the laboratories and shelves of agencies to entrepreneurs and thereby to consumers.

4. Corporations

Some of the vast financial resources of corporations can be marshaled to provide equity or debt capital for investment or for the development of new products and services that would be supportive of these corporations' own operations.

5. Private Group

A number of private groups can develop close ties with venture incubators, such as accountants, attorneys, and banks to provide the professional expertise necessary to start a new business. Management consulting firms, business professors, professional development agencies like MIDA, BRAC, Grameen foundations etc. are acting as venture incubators in Bangladesh.

Returns of Entrepreneurship

All components of the entrepreneurship model are looking for definite returns, such as these:

1. Economic Growth

A healthy economy is one that grows at a good, steady pace without causing high levels of inflation. In essence, new businesses create wealth that is eventually distributed to all members of the society.

2. Standard of Living

All the stakeholders in a country's economy want economic growth coupled with an improved standard of living that includes clean air and water, safety and security, peaceful relations, equal opportunity, and quality products and services at reasonable prices.

3. Job Creation

Clearly, new businesses create a huge job opportunities in the country, a significant return to all members of a society.

4. Profits

The key stakeholders in the whole process are entrepreneurs, venture capitalists, and other investors. They all expect and deserve a substantial profit from their new businesses.

5. Tax Base

Clearly, all governments need ways to expand their tax base to support various programs. Some would argue that the tax base is already too broad and deep. The point here is that new businesses become taxpayers. Thus returning revenue to governments and indirectly to other groups.

6. Image

Research centers and universities are interested in enhancing their stature in order to attract top flight researchers and professors. They also want to secure funds to support a variety of research-educational programs.

7. Technological Development

Global competition dictates that great strides be made in technological development. To do so, requires massive amounts of capital and long lead times, which in turn, call for public-private partnerships. As a result, technological development would be ensured by creating or growing a good number of entrepreneurs.

8. Investment Opportunities

The success of one new business produces many additional entrepreneurial and investment opportunities or the creation of technology, such as transistors, fiber optics, computers, lasers, television, cellular phones, and so forth, propagates thousands of investment opportunities and new businesses.

Factors/ Components of Environment that Affect Entrepreneurship

Entrepreneurship does not grow without environmental support. People in the society live within the umbrella of certain environment. Therefore, entrepreneurship emerges within the environmental context in every society of the world. There are some common essential factors of environment which have been drawn by different experts as essential. These are given below:

1. Availability of venture capital
2. Presence of experienced entrepreneurs
3. Technically skilled labor force
4. Accessibility of suppliers
5. Accessibility of customers or new market
6. Favorable governmental policies
7. Proximity of universities and research institutions
8. Availability of infrastructural facilities
9. Accessibility of transportation
10. Availability of supporting services

Entrepreneurship Development

Chapter: 05. Entrepreneurship and Small Business

Small Business

The definition of small business varies country to country and between times in the same country. Small business is an enterprise that is comparatively small in size, operating in a geographically localized area, employed fewer than 100 employees, and is financed by one individual or a small group of individuals. A small business is a business that is privately owned and operated, with a small number of employees and relatively low volume of sales as well as profit.

Characteristics of Small Business

Different countries have adopted different definitions of small business or industry. Other than legal framework of small business, there is a general understanding about the smallness of business among the people operating in this type of business. There are some common characteristics involved in small business. These characteristics are given below:

1. Membership

The business, as a rule is managed by the owner or owners of the firm. The management team of the business might consist of family members, relatives and close friends of the owner or owners of the business.

2. Decision-making

The responsibility for decision-making normally lies with one key executive, with very little or no delegation of authority. Small business owner-managers maintain high degree of concentration of authority.

3. Relationship

There appears to be a close management-employee relationship. Entrepreneurs take active part in the management and operation of the firm. They develop a very intimate relationship with the employees through working along with them. Therefore, the relationships are informal and friendly.

4. Extension of the Personality

Small business is an extension of the personality of the entrepreneurs. It is the reflection of the dreams and desires of the entrepreneurs. This is another common feature of small business.

5. Nature of Work

The nature of work generally is not that much complex. Moreover, if the work is complex, technically difficult, it is the owner who generally holds that capacity or who can strongly supervise the task with his/her strong command on the technology and therefore, they can develop skilled or semi-skilled person for their venture.

6. Independent Management

The management of the firm is independent. There is no subject to any other's supervision. Entrepreneurs are the owner-managers of the small businesses. They are the sole authority of the firm to decide about the organizational matters.

7. Ownership

The capital is supplied and the ownership is held by an individual or a small group of individuals. Small business may take proprietorship, partnership or private limited company. In any case, the number of owners is always limited and they hold the total ownership and they supply the required equity too.

8. Area of Operation

The area of operation is mainly local, with the workers and owners living in one home community. However, the markets need not be local. Small business basically deals with local demands of the customers. It always focuses on the needs of the local people.

Importance of Small Business

The role of small business in any economy is really great without any doubt. The strengths or importance of small business is stated below:

1. Source of Innovation

Small businesses are the major sources of innovation in our civilization. Substantive numbers of successful innovations are implemented by small business. Sources of new materials, processes, ideas, services and products are being provided by small businesses.

2. Encourage Competition

Small businesses encourage competition by checking the development of monopolies by large businesses. It produces new products, methods, services and so forth and checks large firms' tendency to control the market.

3. Create Employment

Small, young, higher technology businesses create jobs at a much higher rate than do older, large businesses. Small businesses create lots of job opportunities for the unemployed people. These people can engage with this type of business to remove unemployment problem.

4. Contribute to Gross Domestic Products

Small business contributes to the national economy of every country of the world significantly. It generates 54% of the sales revenue and 40% of the gross national product in the world. In Bangladesh economy, small businesses contribute nearly 56% of the GDP.

5. Higher Financial Performance

Small business earns higher returns on owners' equity (ROE) than large manufacturers do. That is, for each taka invested in business, small business investors earn more than do big business investors. Because, small business can respond more quickly and at less cost to the quickening rate of change in products and services.

6. Develop Risk Takers, Freedom and Flexibility

Small entrepreneurs have relative freedom to enter and leave a business at will. They can start and grow, expand or contract, succeed or fail as they feel comfort with the situation. This freedom is the essence of the free economy. It makes managers responsible to customers, employees, investors and to community.

7. Career for New Graduates

Small business is the right venture for the new graduates who welcome the challenge of innovative work, want to be decision makers, want freedom of owning a small business, or want to have a financial incentive which one could never obtain by working for others.

8. Ease of Entry

Small business does not require much formality to start. Financial requirements are not high too. Entrepreneurs can choose almost any line of business they like. This freedom of opportunity guarantees them the right to launch their own ventures.

Reasons for the Failure of Small Business

The bright side of the small business is not all of small business. In contrast, the dark side reflects problems unique to small business. Its death rate is high. Researchers have identified many reasons for the failure of small businesses in the developed and developing countries of the world. These reasons are given below:

1. Inadequate Management

The lack of managerial knowledge and skills is the vital cause of failure of largest number of small business. It is more evident in the case of expanding situation. It is not recognized that a managerial expertise is a prior condition for starting and opening a business.

2. Shortage of Working Capital

Working capital is the lifeblood of all business enterprises. Small business, with small capital base, faces shortage of working capital to maintain desirable level of operation. Study shows that businesses that start with too little investment by owners have a greater chance of failure than businesses with adequate investment by owners.

3. Lack of Balance

Small business does not maintain a proper balance among many interrelated affairs of the organization. The significant reasons for such imbalance are the lack of coordination between production and marketing, lack of proper record keeping, lack of effective selling techniques, lack of copying with increasing complexity of internal management etc.

4. Lack of Business Experience

Small business run by people without prior industry experience is vulnerable to failure. People with any track record start small business and could not cope with the operational problems and crises. Inexperience in line of operation makes decisions faulty and disastrous to the organizational continuity.

5. Insufficient Inventory Turnover

Small business faces inventory turnover problem that does not only blocks the working capital but also risks the business for product obsolescence. It also affects profit due to lack of sales and deters the smooth progress of the operation of the business.

6. Improper Markup

Small business does not set its price policy with sufficient market information rather goes on traditions cost-plus or competitive pricing. It sometimes does not cover the expected rates of return necessary for maintaining financial strengths of the firm. It is observed that small firms that fail, they fail because of insufficient return on their investment.

7. Too Much Investment in Fixed Assets

Small businesses that have made excessive investment in fixed assets face the problem of operating fund. It also requires high operating expenditures and thus, needs high financial obligations too. This heavy-head structure stalls the operative capacity and causes failure of the small venture.

8. Lack of Planning

Small businesses that do not prepare business plans have a greater chance of failure than businesses that do. There is a general neglect in small business toward preparing plan for that it loses its focus. Many small businesses fail because of unplanned action.

Scope of Small Business

Scope of small business is quit vast covering a wide range of activities. Businesses that come within the distinct characteristics of small business are too many. A list of the area of activities where small business will fit best is stated below:

1. Electronics or Electrical
2. Software-development
3. Agro-processing/ agro-business/ plantation agriculture/ specialist farming
4. Leather-making and leather goods
5. Ready-made Garments
6. Healthcare and diagnostics/ Pharmaceuticals
7. Fast-food/ Food processing and Food assembling
8. Poultry farming
9. Transportation including automobiles
10. Furniture
11. Retailing, wholesaling, distributorship
12. Paper printing and publishing etc.

Entrepreneurship Development

Chapter: 06. Business Plan Preparation

Business Plan

Plan is a blueprint for future course of action. The business plan is a written document that describes all the relevant internal and external elements involved in starting a new venture. It is a roadmap for operating any business and measuring progress along the way. The business plan is a written document prepared by the entrepreneur that describes the business venture, product or service, customers, competition, production and marketing methods, management, financing and all those things necessary to enter business and make or sell the product or service.

Need for a Business Plan

It takes time and energy to draw up a satisfactory business plan. The primary benefits of developing a business plan are given below:

1. Helps in Reducing Emotional Bias

One objective of a business plan is to help elimination of emotional planning. The systematic approach for completing a business plan may force to think thoroughly about the pros and cons of a business idea to help in making decisions on whether to start the business or not.

2. Provides SWOT Analysis

A business plan provides a SWOT analysis, wherein the strengths, weaknesses, opportunities and threats involved in the plan are indicated. In case the strengths and opportunities outweigh the weaknesses and threats, it is presumed that one can reasonably control the venture planned and one can proceed further.

3. To Set Better Objectives and Standards

Without a business plan, objectives often become arbitrary, without much rhyme or reason behind them. Having a business plan can help to make those benchmarks more intentional and consequential.

4. To Reduce Risk

Entrepreneurship is a risky business, but that risk becomes significantly more manageable once tested against a well-crafted business plan. Drawing up revenue and expense projections, devising logistics and operational plans, and understanding the market and competitive landscape can all help reduce the risk factor from an inherently precarious way to make a living.

5. Enables One to Justify His/ Her Plans and Ideas

A systematic approach in dealing a business plan helps one to turn his or her grand and exciting idea into a reality. By proving good reasoning for the ideas and plans, one can justify the viability of the project and can receive support of others.

6. Helps One to Develop a Consistent Strategy

Business plan portrays the wishes of an entrepreneur. Everything that affects the market must have consistency with plan. Putting the plan on, one can review and recognize the related components and ensures their compatibility.

7. Helps in Convincing Other about the Idea

A business plan is an impressive document that tells the reviewers such as lenders, suppliers and prospective investors, about the business and its profit potential and serves to give them the required confidence that the proposer understands the business and the idea is viable.

Who Should Prepare the Business Plan?

The business plan should be prepared by the entrepreneur or entrepreneurial team; however, he or she may consult with many other sources in its preparation. Lawyers, accountants, marketing consultants, and engineers are useful in the preparation of the plan. If the entrepreneurs do not have sufficient skill to prepare a business plan, they can take help from a consultant to prepare the business plan.

Preparing a Business Plan

Business plan should be comprehensive enough to give any potential investor a complete picture and understanding of the new venture and will help the entrepreneur clarify his or her thinking about the business. A business plan generally contains the following aspects:

1. Letter of Transmittal or Cover Letter

The letter of transmittal or cover letter officially presents the business plan to the reader. A cover letter contains the abstract of the business plan with special attention to its purpose and promise. The letter is bound with the business plan. It contains the occasion for the business plan; it refers to the title; it explains the major features that may be of special interest to the reader.

2. Introductory or Title Page

This title page that provides a brief summary of the business plan's contents. The introductory page should contain the following:

- The name and address of the company or organization.
- The name of the entrepreneur and telephone number.
- A paragraph describing the company and the nature of the business.
- The amount of financing needed. The entrepreneur may offer a package that includes owner's equity and debt.
- A statement of the confidentiality of the report. This is for security purposes and is important for the entrepreneur.

3. Executive Summary

This section of the business plan is prepared after the total plan is written. It should be such that could stimulate the interest of the potential investor. The investor uses the summary to determine if the business plan is worth reading in total. Thus, it would highlight in a concise and convincing manner the key points in the business plan, that is, the nature of the venture, financing needed, market potential, and support as to why it will succeed.

4. Table of Contents

It will be prepared after the completion of the plan. It contains the section titles and the page numbers for easy reference.

5. Business Concept/ Industry Analysis

It is important to put the new venture in a proper context. It gives an elaborate description of the industry and market situation in which the enterprise will operate in future. It contains:

- Industry outlook and growth potentials
- Competitive analysis
- Market and customers
- National and economic trends

6. Description of Venture

This section will enable the investor to ascertain the size and scope of the business. Key elements are:

- Products or services
- Production or the exclusive rights of the venture
- Business location and size
- Competitive advantages of the business concepts
- Staff and equipment needed
- Brief history

7. Business Goals

- One year specific goals such as a gross sales, profit margins, share of market, opening of new store, plant or office, introducing new products etc.
- Long-term goals such as return on investment, business net worth sale of business.

8. Marketing Plan

The marketing plan is an important part of the business plan since it describes how the product or service will be distributed, priced, and promoted. Specific forecasts for product or service are indicated in order to project profitability of the venture. It deals with 4Ps- Producer, Price, Place, and Promotion. The elements are:

- Sales strategy
- Distribution
- Pricing
- Promotion
- Guarantees
- Tracking method

9. Production Plan

This plan should describe the complete manufacturing process. If some or all of the manufacturing process is to be subcontracted, the plan should describe the subcontractor, including locations, reasons for selection, costs, and any contracts that have been completed. The plan contains the following:

- A brief description of production process
- A description of physical plant requirements
- Machinery and equipment requirement description
- A description of materials and their nature
- A description of suppliers
- A description of human resources
- A description of cost of facilities
- An estimate of capital investment

10. Organizational Plan

The organizational plan is the part of the business plan that describes the venture's form of ownership. It also describes who controls the organization and how other members will interact in performing their management functions. The primary elements are:

- A description of legal form of business
- A list of principal shareholders
- A list of contracts and agreements
- A description of duties and responsibilities of key personnel
- An organizational chart
- A description of decision making system and leadership style

11. Financial Plan

Financial plan is a statement of potential investment commitment needed for the new venture and indicates whether the business plan is economically feasible. It includes income statement, cash flow projection, opening balance sheet, break even analysis, ratio analysis, sources and application of fund for a period of 3-5 years.

12. Accounting Plan

Accounting plan is the most neglected area in entrepreneurial venture. It will state the business transaction system, statements and accounts to be prepared, reporting system, internal check system, auditing system etc. which will make the accounting information system a full-proof system for preventing frauds, mistakes and for fulfilling legal obligations.

13. Insurance Plan

This plan will exhibit the courses designed to cover the unanticipated loss due to fire, theft or other hazards. To provide for protection, entrepreneurs should develop a program of risk management before the venture is launched. The insurance plan should fit with the requirements of the venture.

14. Appendix

The appendix of the business plan generally contains any backup material that is not necessary in the text of the document. It includes:

- Letters from customers, distributors, or subcontractors are example of information that should be included in the appendix.
- Any documentation of information, that is, secondary data or primary research data used to support plan decisions, should also be included.
- Leases, contract, or any other types of agreements that have been initiated may also be includes in the appendix.

15. Bibliography

In writing a business plan, one may use information already made available by others in published or unpublished sources. When someone refers to other's work, document the source he/she is quoting or paraphrasing by citing the source and by listing the source in the bibliography.

Entrepreneurship Development

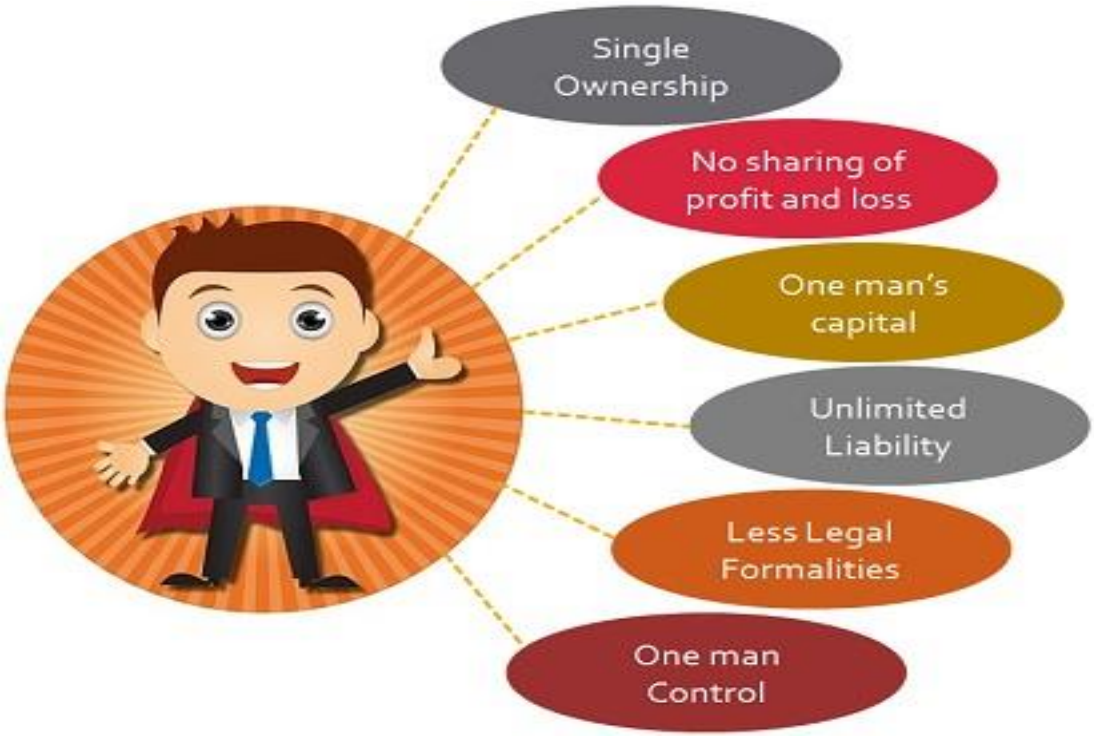
Chapter: 07. Sole-Proprietorship Business

Sole-Proprietorship

The business that is owned by a single person is known as proprietorship or sole-proprietorship business. This type of business is the traditional and usual form of business ownership. A single owner is the absolute possessor of the business. He/she is the ultimate decision-maker, investor, manager and controller of the business. A sole proprietorship is the easiest type of business to establish or take apart, due to a lack of government regulation. As such, these types of businesses are very popular among sole owners of businesses, individual self-contractors, and consultants. Many sole proprietors do business under their own names because creating a separate business or trade name isn't necessary.

According to Glos and Baker, **"A sole-proprietorship is a business owned by one person and operated for his profit"**.

According to B.O. Wheeler, **"The sole-proprietorship is that form of business ownership which is owned and controlled by a single individual"**.



Advantages of Sole-Proprietorship Business

The sole-proprietorship business is the most simple and common in our country. It has the following advantages:

1. Easy Formation
2. Adequacy of Small Capital
3. Maintenance of Privacy
4. Tax Advantages
5. Flexibility
6. Maintenance of Good Personal Contacts
7. Easy Termination
8. Strict Control
9. Quick Decision and Prompt Action
10. Encourages Self-Employment

Disadvantages of Sole-Proprietorship Business

The sole-proprietorship business also suffers from some disadvantages, which are given below:

1. Small Opportunity for Expansion
2. Poor Credit Standing
3. Unlimited Liability
4. Poor Existence
5. Risk of Wrong Decisions
6. No legal Entity
7. Limited Managerial Ability

Reasons of Survival of Sole-Proprietorship Business

Some absolute advantages or unique causes provide the foundation of survival and expansion of the sole-proprietorship business. Some of the causes of this survival are as follows:

1. A Combination of Effort and Reward

2. A Good Training Field

3. Swift Adjustment of Demand and Supply

4. Small Capital Requirement

5. Individuality and Freedom

6. Suitability for Perishable Products

7. Easy Employment Area

8. Demand of Specific Areas

Entrepreneurship Development

Chapter: 08. Partnership Business

Partnership Business

Different forms of business have evolved gradually. Partnership may be called a secondary development after proprietorship business. When two or more persons develop a contractual relationship between or among them for doing certain type of business and also sharing profit, it is called a partnership business. To cope with limitations of single proprietorship, partnership business was started. A business may have a small beginning as a sole-proprietorship, later expand into a partnership business.

According to Indian Partnership Act of 1932, **"Partnership is the relation between persons who have agreed to share profits of a business carried on by all or any of them acting for all"**.

According to American Partnership Act, **"Partnership is an association of two or more persons to carry on as co-owners of a business for profit"**.

Features of Partnership Business

There are some essential features of partnership business. Some of them are given below:

1. Presence of Contract
2. Association of Individuals
3. Number of Members
4. Existence of Trust and Confidence
5. Division of Profit
6. Capital
7. Lawful Business
8. Unlimited Liability
9. Registered Status
10. Dissolution

Advantages of Partnership Business

Partnership business has certain advantages over and above proprietorship business. These advantages are as follows:

1. Joint Ownership
2. Combination of Expertise
3. Easy Formation
4. Maintenance of Secrecy
5. Team Spirit
6. Flexibility
7. Sharing of Risk
8. Easy Dissolution

Disadvantages of Partnership Business

In spite of various advantages, partnership business suffers from some disadvantages, which are given below:

1. No Separate Entity

2. Unlimited Liability

3. Conflict among Partners

4. Fear of Dishonesty

5. Difficulty in Decision-Making

6. Poor Coordination

7. Investment Withdrawal Difficulty

Contract of Partnership Business

The agreement among partners is known as partnership contract. The written agreement among the partners is called as the partnership deed or the articles of partnership. Partnership business stands on contract or deed. It is called, "The essence of a partnership business is the contract, not the status". Partnership deed may be oral, written, written and registered of these three kinds. To solve future problems, it should be written and registered.

Contents of Partnership Agreement

There are some elements involved in partnership agreement. A written partnership agreement includes the following main features:

1. Name of the partnership business

2. Type of the business

3. Location of the business

4. Expected life of the partnership

5. Name of partners and the amount of each one's investment

6. Procedures for distributing profits and covering losses

7. Amount that partners will withdraw for services

8. Procedures for withdrawal of funds

9. Duties, power, obligations of each partner

10. Procedures for dissolving the partnership
11. Interest on capital, if any, and the rate of such interest
12. Method of determining the capital in the event of death of a partner
13. Management
14. Mode of dissolution
15. How further capital is to be introduced if necessary
16. Operations, bank accounts, audits etc.

How To Write a Business Plan: Seven Elements

Businesses come from great ideas, but there's more behind starting a company than an innovative concept. A solid business plan sets the foundation for a solid company. It's the comprehensive roadmap for structuring, running, and even growing a new business. It helps entrepreneurs think through critical elements at each stage of launching their businesses.

Business plans are crucial to the financial success of a new business. A well-thought-out plan can help acquire funding and attract experienced business partners as it outlines how your business will generate enough profit to earn a decent return on investment for investors.

Nerd Wallet describes a strong, detailed business plan as a tool that can convince others your company is a smart choice for them. If you have a bright idea and you're heading down the business route, now's the time to learn how to write a successful business plan. Read on for tips and resources to help you write the model plan.

What Is a Business Plan?

A business plan is a formal document (about 15–25 pages in length) that precisely defines a company's objectives in fine detail. It also describes how the company plans to achieve its goals. All companies — including start-ups and established institutions — create and use business plans.

Comprehensive, carefully thought-out business plans are critical for new businesses to attract investors and secure lending, however; a business plan can also serve an established company. It can keep the executive team on the same page regarding strategic actions and on-task for meeting established goals. A business plan can be periodically reviewed and updated, and new ones can be created if a business decides to move in a new direction.

Seven Elements of a Business Plan

According to Investopida.com and Nerd Wallet, most business plan templates include seven elements: an executive summary, company description, products

and services, market analysis, marketing strategy, financials, and budget. You will also want to include an appendix that contains data supporting the main sections. You don't have to follow a specific outline or template. Instead, include sections that make the most sense for your business and its needs.

No two business plans are the same, but they should include these seven key elements:

• Executive summary: This section details the business and what it wants to accomplish. It includes the mission statement and information about the leadership, employees, operations, and location.

• Company description: This overviews the business's plan and vision. It should include the company's name, business structure, and an overview of the target market. As Forbes notes, the company description should state whether the business is a sole proprietorship, Limited Liability Company (LLC), partnership, or corporation. It should also include a section that outlines the company's history and evolution.

• Products and services: This section details the products and services offered. It can include pricing, product lifespan, benefits, and similar products and competitors. You want to show the difference between your product or service and how it will rise above the competition. Other topics in the section can include production and manufacturing processes, research and development, company patents, and proprietary technology.

• Market analysis: A business needs to understand its industry and target market. The market analysis details the competition and plans on how to differentiate. It also explains how the company fits in with the industry and details its strengths and weaknesses. This section details the target market and the expected consumer demand for the product or service. Research should also show how easy or difficult it will be to grab market shares (the percentage of total sales generated by the company that is calculated by taking the company's sales over a period and dividing them by the industry's total sales over the same period).

• Marketing strategy: This part explains how the company plans to attract and retain customers, it outlines a clear distribution channel, and defines planned advertising and marketing strategies. It can also describe the types of media

used for those strategies and campaigns.

• Financials: A business plan should include a company's financial planning and projections. For an established business, this includes financial statements, balance sheets, and other documents. New businesses can include targets and estimates for the first few years of operation. It can also outline the company's potential investors and what financial assistance the company may need.

• Budget: Every business needs a budget, so every business plan should detail staffing, development, manufacturing, and marketing costs.

Again, since all businesses are different, all business plans are different. The best business plans entice readers with information that demonstrates why that business should be in operation.

Business Plans – Traditional or Lean Startup?

As mentioned above, there is no right or wrong business plan, but they typically fall into two categories: traditional or lean startup.

According to the Small Business Administration (SBA), a traditional business plan is the most common. It is very detailed, takes a fair amount of time to create, and is comprehensive. Also, lenders and investors commonly request this type of plan. Traditional business plans use some combination of these nine sections:

• Executive summary

• Company description

• Market analysis

• Organization and management

• Service or products

• Marketing and sales

• Funding requests

• Financial projections

• Appendix

Traditional business plans use a standard structure and encourage more details in every section. Established businesses can create traditional business plans because they have the data and research to back up each section. Startups can also use a traditional business plan and provide similar data to predict their success. The more data the better — even if it isn't from the business in the plan — because it can attract investors.

A lean start-up business plan, on the other hand, is rare. It focuses on summarizing the essential points of and critical elements of the plan. These plans are typically a single page, are not as detailed, and don't take much time to create. You should be prepared to provide more details and research if later requested by an investor or lender. A lean startup business plan is ideal if you want to explain or start your business quickly, if your business is relatively simple, or if you plan to refine the business plan regularly.

Like traditional plans, there are different formats for a lean startup plan. According to the SBA, these are the fundamentals for a lean business plan:

• Key partnerships: These are the other businesses or services that will help run the business, including suppliers, manufacturers, subcontractors, and similar strategic partners.

• Key activities: This section lists how the business will differentiate and have a competitive advantage.

• Essential resources: List any resources the company will leverage to create added value for the customer.

• Value proposition: This statement describes the company's unique value and what it brings to the market.

• Customer relationships: This section describes how customers will interact with the business and details the customer experience from start to finish.

• Customer segments: This is where the target markets are named. Investors will want a clear sense of the types of customers the business will serve.

• Channels: Here is a list of how the business will use various forms of media to interact with customers.

• Cost structure: Here, the cost strategy is defined, with a focus on the highest costs the business is facing.

• Revenue streams: This is where the plan states how the business will make money. All revenue streams should be listed.

Every business starts with a vision and a mission, and either a traditional or lean start-up business plan can help communicate those details. A strong business plan will outline short-term and long-term goals.